

PROJECT INFORMATION DOCUMENT (PID)
CONCEPT STAGE

Report No.: AB2591

Project Name	BO Participatory Rural Investment II
Region	LATIN AMERICA AND CARIBBEAN
Sector	Irrigation and drainage (25%);General agriculture, fishing and forestry sector (25%);Sub-national government administration (25%);Roads and highways (25%)
Project ID	P101298
Borrower(s)	REPUBLIC OF BOLIVIA
Implementing Agency	
	Republic of Bolivia Bolivia
	Fondo de Inversion Productiva y Social Bolivia
	Viceministerio de Descentralizacion Bolivia
Environment Category	☐ A ☒ B ☐ C ☐ FI ☐ TBD (to be determined)
Date PID Prepared	October 5, 2006
Estimated Date of Appraisal Authorization	
Estimated Date of Board Approval	May 29, 2007

1. Key development issues and rationale for Bank involvement

1.1 Context

Bolivia is one of the poorest countries in Latin America, with an average annual income of only \$1,010 and low indicators for health, education, and access to basic services. Real per capita income has barely changed over the past fifty years and income inequality is high, with indigenous and rural populations in particular suffering the effects of social and economic marginalization. Poverty in rural areas stands at 83 percent, compared to 54 percent urban areas, and there is an even greater gap in terms of unsatisfied basic needs (91 percent versus 39 percent). Despite recent improvements in living conditions nationwide, benefits have continued to accrue disproportionately to urban areas.

With approval of the Popular Participation Law (LPP) in 1994, Bolivia initiated a process of decentralization designed to transfer resources and responsibilities to local governments and strengthen the capacity and participation of municipalities and civil society organizations. The LPP, which includes fiscal transfers to municipal governments on a per capita basis, reversed a historical bias against government expenditure in rural areas and is widely regarded as providing a good foundation for rural development. The 2001 *Ley del Diálogo Nacional* (LDN) went a step

further by incorporating both population and poverty into the formula for fiscal transfer of funds available as a result of debt reduction under the Heavily Indebted Poor Countries (HIPC II) Initiative.

1.2 Key issues and government policy

Government policy

The proposed project will be designed within the strategy framework of the government's recently issued National Development Plan (NDP), which has three broad objectives: fostering jobs through inclusive growth, promoting social inclusion, and improving institutions, governance, and accountability. While the project would help meet all three goals, rural development is considered particularly important for promoting more inclusive growth. In rural areas the government will promote land titling, food security, productive chains, commercialization of coca, markets and technology, nonagricultural income generating activities, technical assistance, and access to financial services. Two public development banks (one to finance technological innovation and another to provide subsidized loans to producer associations) would help finance and target these investments.

The project supports both the NDP's economic strategy by channeling investments and services to small rural indigenous and campesino producer associations, and its social-community strategy by providing more equitable opportunities that would help eliminate social exclusion, discrimination, and poverty. The project would also help achieve the government's decentralization goals and provide incentives for municipalities to join together in forming territorial planning units that would coordinate actions and investment plans between themselves as well as with the national government and departmental prefectures.

Previous Government Rural Poverty Alleviation Strategy – The Rural Communities Development Project (PDCR) and The Participatory Rural Investment Project (PRI 1).

The proposed project would build on two previous World Bank projects for rural development that were instrumental in helping the Bolivian government implement its decentralization and poverty alleviation strategies. The Rural Communities Development Project (PDCR), which closed in 1999, emphasized support for the LPP's institutional reorganization, capacity building, and decentralization activities. The Participatory Rural Investment Project (PRI 1) shifted the focus to rural investments promoting broad-based economic growth and addressed the bias against infrastructure and productive (as opposed to social) investments while also continuing to work on institutions and capacity building.

PRI 1 financed 858 investment subprojects benefiting more than 1 million people (72 percent of whom were indigenous). These investments included 354 in bridge and road rehabilitation, 177 in small-scale irrigation, and 227 other projects in agriculture, handicrafts, and natural resources management. It also financed 1,914 technical assistance subprojects or events that trained more than 3,300 individuals, convened workshops with more than 28,000 participants, and produced 1,404 preinvestment profiles, 157 participatory municipal development plans, 189 participatory annual operating plans, and 40 indigenous development plans.

Weaknesses in past rural poverty alleviation programs

As a result of the experiences in the PDCR and PRI 1 operations, the following areas were identified as priority areas for improvement under the proposed PRI 2:

- a) **Results orientation.** Since fiscal transfers are linked to functions rather than results, public investment by local government tends to lack clearly defined goals. Legally enshrined social control functions also revolve around where money goes rather than whether it actually solves problems. The proposed project would help coordinate investments around territorial strategies, formulated in concert with social organizations, with clear objectives and measurable results.
- b) **Scale and network considerations.** The dispersal of investments between municipalities and prefectures often results in duplication of efforts, underutilization of resources, inadequate local financial and technical capacity, and failure to approach productive and infrastructure issues that transcend municipal jurisdictions. The proposed operation would help local actors to visualize scale and network considerations and to develop institutional arrangements for operating through territorial strategies.
- c) **Municipal and prefectural roles in provision and coordination.** The project would bring together disparate actors and develop and implement territorial strategies to help overcome confusing and overlapping incentives between different levels of government
- d) **Focus on operation and maintenance.** The current legal and institutional framework provides good incentives for investment but not for operation and maintenance. Territorial strategies would visualize operation and maintenance requirements and establish clear responsibility for long-term service provision.

Proposed Second Participatory Rural Investment Project (PRI 2)

The successful outcomes of PRI 1 prompted the Bolivian government to request a \$100 million follow-on project to scale-up and expand the coverage of PRI I to reach a greater segment of the rural population and consolidate institutional capacity during the critical constitutional transition. Because of constraints related to its lending portfolio and Bolivia participation in the HIPC and MDRI debt reduction initiatives, the Bank proposed an IDA credit of only \$17 million for PRI 2.

It is estimated that benefits from the rural investment component of PRI 1 reached 25 percent of the population in the project area. With the reduced lending envelope, PRI 2 is expected to reach an additional 10 percent of the population. Investments would essentially be in the same types of infrastructure and services as PRI 1, but with a greater emphasis on operation and maintenance arrangements to ensure the sustainability of investments, as suggested in the draft ICR for PRI 1.

The proposed Second Participatory Rural Investment Project (PRI 2) would refine the activities carried out under PRI 1, extend rural investments to reach additional beneficiaries in the project area, and target additional institutional strengthening at the areas with the greatest weaknesses and potential for leveraging the value of investments as well as at guidance for the constitutional reform process and adaptation to the results of that process.

In terms of institutional strengthening, PRI 2 would build on the success of PRI 1 in increasing municipal administrative capacity by focusing more attention on areas where municipalities still need improvement, particularly in operation and maintenance capability, multisectoral (and

possibly transmunicipal) territorial development planning, and greater dialogue with civil society, neighboring municipalities, and other levels of government. Further institutional strengthening of FPS, a relatively new institution that replaced one of the original implementing agencies under PRI 1, is considered essential at this juncture to guide it through the transition to the proposed new National Development Financing System and to build its internal controls and transparency so that it avoids the corruption problems that plagued its predecessor. Another critical aspect of this component is providing technical support through the process of constitutional reform to help ensure a strong enabling environment for rural development and poverty alleviation.

<i>Project</i>	<i>Duration</i>	<i>Credit amt (\$ million)</i>	<i>Emphasis / outcomes</i>
Rural Communities Development (PDCR)	1995–1999	12.9	Institutional reorganization and capacity building to support the LPP, including participatory municipal planning, creation of indigenous districts, and strengthening of municipal governments and grassroots organizations.
Participatory Rural Investment (PRI 1)	1998–2006	58.1	Rural investments, with an emphasis on promoting broad-based economic growth and correcting the bias against infrastructure and productive (as opposed to social) investments, as well as continued institutional strengthening.
Participatory Rural Investment 2 (PRI 2)	2007–2012	17.0	Scaling up and expansion of rural investments to additional beneficiaries; refinement of PRI 1 investment and institutional strengthening strategies to achieve improved territorial planning, intergovernmental coordination, dialogue between the public sector and civil society, and constitutional reform transition.

1.3 Government ownership and Rationale for Bank involvement

Soon after taking office the Morales administration asked the Bank to prepare a follow-on operation to scale-up and expand the coverage of PRI 1. The government has since confirmed that the proposed PRI 2 would support its National Development Plan. The project is included as part of the two-year investment plan in the draft Interim Strategy Note (ISN) for Bolivia that was discussed between the government and the Bank. The ISN plan resulted in part from technical briefings with Morales' policy team both before and after the elections and from a series of Bank policy notes that were discussed with the government at a high-level event in March 2006. The proposed project is included in the planned IDA program, with a tentative allocation of \$17 million (the government's original proposal was for a credit of \$100 million). Board approval is expected in FY07.

The Bank brings to bear important experience accumulated during the previous two rural development operations (PDCR and PRI 1) that will help consolidate gains in decentralized rural development, increase the emphasis on productive infrastructure, maintain continuity in the country's rural development investments, and supporting policy formulation during the critical transitional period to a new or modified Constitution. The agility and effectiveness demonstrated by PRI 1 in implementing institutional capacity building and rural investments will be even more critical during PRI 2 to help meet urgent rural development needs during a period of political and strategic uncertainty.

The project is conceived both in the ISN and by the Bolivian government as part of a package of initiatives, including the Land for Agricultural Development Project and the Rural Alliances Project, which would complement one another in responding to key rural development priorities.

2. Proposed objective(s)

The project will improve the economic opportunities of poor rural producers through productive investments generated in participatory planning processes at the community, municipal, and regional level.

More specifically, it will (a) facilitate participatory planning at the municipal and regional level, help coordinate the policies, activities, and financing of local, departmental, and national institutions; (b) promote the formation of municipal associations to create and implement territorial development strategies and achieve economies of scale in administering funds; (c) provide cofinancing for investments in basic infrastructure and production support services; and (d) strengthen local public and civil society actors involved in defining and implementing territorial development strategies.

3. Preliminary description

PRI 2 would maintain the same general institutional arrangements as PRI 1, with the Vice Ministry of Decentralization (VMD) coordinating the project and managing Component 1 (institutional development) and the Fondo de Inversion Productiva y Social (FPS) managing Component 2 (rural investments). Both institutions managed similar components in PRI 1 and thus have proven capacity to comply with the Bank's safeguards and fiduciary requirements.

PRI 2 would be expected to consolidate the achievements of prior operations while providing a basis for piloting new approaches to local demand generation and cofinancing. Total proposed project cost is estimated at US\$21 million, with US\$17 million financed by a Specific Investment Loan (SIL). Project preparation will be closely coordinated with other donor institutions involved in rural development in Bolivia, including several that have expressed interest in the project because of the critical support it would provide to the government in developing a new framework for local development during the Constitutional transitional process. The Swiss Cooperation, which cofinanced PDCR and PRI 1, has already indicated that it might support the new operation.

Proposed Components

Component 1: Institutional Strengthening (US\$ 4 million)

This component would help government and social actors to implement local and regional development strategies. It would have three subcomponents:

- **Subcomponent 1.1: Strengthening municipal governments, local grassroots organizations, and departmental prefectures.** This subcomponent would provide (i) assistance in the formulation of territorial development strategies at the municipal and/or

regional level, ensuring the participation of campesino and indigenous communities, producer groups, local NGOs, and the private sector, as well as prefectures and other government institutions; (ii) on-demand training and technical assistance to municipal governments for key administrative functions such as implementation of annual operating plans, supervision of investments, monitoring and evaluation, and providing information for social accountability; (iii) on-demand training and technical assistance to small producers and indigenous and campesino communities to help them participate in formulating and implementing territorial development strategies and to effectively monitor and evaluate government interventions; (iv) funding and technical assistance to municipalities and their associations in transportation planning, including all aspects of construction, rehabilitation, and operation and maintenance of transportation infrastructure; and (v) technical assistance to prefectures to help improve the quality of services they provide to municipal governments.

- **Subcomponent 1.2: Strengthening the *Fondo de Inversion Productiva y Social (FPS)*.** This subcomponent would finance technical assistance to consolidate the operational capacity of the FPS in (i) integration with the proposed *Sistema Nacional de Financiamiento para el Desarrollo (SINAFID)*, (ii) internal control and reporting, (iii) quality control, and (iv) transparency and anti-corruption.
- **Subcomponent 1.3: Support to constitutional reforms in decentralization and rural development.** This subcomponent would help the VMD to (i) establish transitional policies for institutional strengthening and cofinancing of local governments; (ii) coordinate with and provide technical assistance to the Constitutional Assembly in defining policies on local government and territorial and rural development; and (iii) develop normative and regulatory instruments to implement the eventual constitutional reforms.

To be decided during preparation: 1) Criteria for selecting municipalities and for self-selection of regional associations of municipalities (piloting 2-3 experiences in different departments of the Borrower); 2) Institutional strengthening policy for municipalities and social organizations; 3) transitional cofinancing policy; 4) extent and limitations of support to Constitutional Assembly deliberations and implementation of resulting reforms.

Component 2: Rural Investments (US\$14 million)

This component would provide cofinancing for municipal, community, and small-producer subprojects identified in municipal or regional territorial development strategies. It would have three subcomponents:

- **Subcomponent 2.1: Preinvestment studies.** This subcomponent would cofinance consulting services for municipalities, communities, and small-producer groups to carry out feasibility studies and engineering designs to fulfill the financing requirements of FPS and other institutions.
- **Subcomponent 2.2: Productive infrastructure and services.** This subcomponent would provide matching funds to cofinance rural investment subprojects including technical assistance to rural producers, small-scale irrigation systems, storage facilities for products (including market storage), river embankment improvements, natural resources management,

infrastructure for tourism and handicraft production, and other minor works identified by communities and municipalities.

- **Subcomponent 2.3: Rural roads.** This subcomponent would finance technical assistance for operation and maintenance of transport infrastructure, spot improvement of rural roads, construction and rehabilitation of bridges and footpaths, small fluvial transport infrastructure, and other minor works identified in municipal or regional transportation plans.

To be decided during preparation: 1) transitional cofinancing policy including: targeting criteria, cofinancing rates (differentiated by poverty and type of investment), linkage to O&M, etc.; 2) possibility of allowing FPS, on basis of past experience and institutional capacity, to finance construction of new roads in non-sensitive areas; 3) terms and conditions for subcontracting parts/subcomponents.

Component 3: Project management (US\$3 million)

This component would support effective project management, fiduciary arrangements, management information systems (MIS), monitoring and evaluation, and learning arrangements. Although it would support the establishment and operation of a project coordination team within VMD, efforts will be made to integrate project coordination into the regular structure of VMD as much as possible.

To be decided during preparation: 1) coordination with sector ministries and other agencies involved in implementation; 2) M&E arrangements; 3) consolidation of existing fiduciary capacities and integration into VMD's structure.

Partnerships and additional financing

Because this project would provide a framework for cofinancing a range of municipal activities that involve other donors, many agencies have shown interest in its preparation, which might eventually translate into parallel financing and cofinancing opportunities. The Swiss Federation has expressed interest in helping to finance project preparation and might also want to be involved during project implementation.

4. Safeguard policies that might apply

[Guideline: Refer to section 5 of the PCN. Which safeguard policies might apply to the project and in what ways? What actions might be needed during project preparation to assess safeguard issues and prepare to mitigate them?]

5. Tentative financing

Source:	(\$m.)
BORROWER/RECIPIENT	0
INTERNATIONAL DEVELOPMENT ASSOCIATION	15
LOCAL COMMUNITIES	1
MUNICIPALITIES OF BORROWING COUNTRY	4
Total	20

6. Contact point

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